

danger of getting an informant into trouble is obviously so great that unfavorable opinions just do not get passed along.

There is still one further group which can be of immense help to the prospective investor in search of a bonanza company. This group, however, can be harmful rather than helpful if the investor does not use good judgment and does not do plenty of cross-checking with others to verify his own judgment as to the reliability of what is told him. This group consists of former employees. Such people frequently have a real inside view in regard to their former employer's strengths and weaknesses. Equally important, they will usually talk freely about them. But enough such former employees may, rightly or wrongly, feel they were fired without good cause or left because of a justified grievance that it is always important to check carefully into why employees left the company being studied. Only then is it possible to determine the degree of prejudice that may exist and to allow for it in considering what the former employee has to say.

If enough different sources of information are sought about a company, there is no reason to believe that each bit of data obtained should agree with each other bit of data. Actually, there is not the slightest need for this to happen. In the case of really outstanding companies, the preponderant information is so crystal clear that even a moderately experienced investor who knows what he is seeking will be able to tell which companies are likely to be of enough interest to him to warrant taking the next step in his investigation. This next step is to contact the officers of the company to try and fill out some of the gaps still existing in the investor's picture of the situation being studied.